MFANO BANK

A fictional bank for a portfolio project

INTERNAL CIRCULAR

Loan origination checklist

Reference	CIR-CRD-21
Version	3
Status	Live
Effective date	2025-10-01
Owner	Credit
Approved by	Chief Credit Officer
Classification	Internal

This document is fictional. It does not describe the procedures of any real bank.

Document control

What changed in version 3: Branch managers may approve loans up to TZS 20,000,000; regional credit committees up to TZS 100,000,000; larger loans go to the head office credit committee.

Version history

Version	Effective date	Change
1	2022-01-01	First issue
2	2023-08-01	Credit bureau check made mandatory
3	2025-10-01	Delegated approval limits updated

Approval and distribution

Approved by the Chief Credit Officer. Owned by Credit. Distributed to all branches through the intranet. Printed copies are not controlled; always check the intranet for the current version.

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1. Purpose

This circular sets out the checks branch staff complete before a loan is approved and disbursed, so that every loan is affordable, properly documented and approved at the right level.

2. Scope

This circular covers salary loans and small business loans originated at branches.

3. Definitions

- **Debt service ratio:** total monthly loan repayments divided by net monthly income.
- **Credit bureau report:** the report from a licensed credit reference bureau showing the customer's borrowing history.
- **Conditions precedent:** conditions that must be met before disbursement.
- **Delegated authority:** the maximum loan amount each approver may approve.

4. Roles and responsibilities

- **Relationship officer:** collects documents, prepares the credit appraisal and presents the loan.
- **Branch manager:** approves loans within their delegated authority.
- **Credit administration:** checks conditions precedent and disburses.

5. Procedure

5.1 Loan request and eligibility

The customer must have an account with the bank and complete KYC. Salary loan customers must have salary paid into the bank for at least three months.

5.2 Required documents

Collect the signed loan application form, identity document, the last three payslips (salary loans) or six months of bank statements and the latest financial statements (business loans), and an employer confirmation letter for salary loans.

5.3 Credit bureau check [MANDATORY CONTROL]

Obtain a credit bureau report before appraisal. Do not proceed if the customer has a loan in default with another lender without credit committee approval.

5.4 Affordability [MANDATORY CONTROL]

The debt service ratio, including the new loan, must not exceed 50 percent of net monthly income.

5.5 Collateral

Agree the collateral required and document it under CIR-CRD-22.

5.6 Credit appraisal

Prepare the credit appraisal memo with the purpose, repayment source, risks and recommendation.

5.7 Approval within delegated authority [MANDATORY CONTROL]

Branch managers approve loans up to TZS 20,000,000. Regional credit committees approve up to TZS 100,000,000. Larger loans go to the head office credit committee. No one may approve a loan to themselves or a relative.

5.8 Offer letter

Issue the offer letter. The customer signs it to accept the terms.

5.9 Disbursement after conditions precedent [MANDATORY CONTROL]

Credit administration disburses only after checking that every condition precedent is met, including registered collateral and insurance.

6. Exceptions and escalation

- **Debt service ratio above 50 percent:** only the regional credit committee may approve, with written reasons.
- **Restructuring an existing loan:** refer to the regional credit team.

7. Records and retention

Loan files: for the life of the loan plus 10 years. Records are kept in the branch file room or the document management system and destroyed only under the bank's records retention schedule. Records that are part of an open complaint, dispute, audit or investigation are kept until it is closed.

8. Monitoring and quality assurance

Back office quality assurance reviews a sample of files every month against this circular and reports exceptions to the branch manager and to Credit. Repeated exceptions at a branch are reported to the Head of Branch Operations. Internal audit may review compliance with this circular at any time.

9. Related documents

- CIR-CRD-22 Collateral documentation
- CIR-ACC-10 Individual account opening and KYC

Appendix A: Frequently asked questions

Q1. What is the maximum debt service ratio?

50 percent of net monthly income, including the new loan.

Q2. Up to what amount can a branch manager approve a loan?

TZS 20,000,000.